Does FDI Drive Growth?

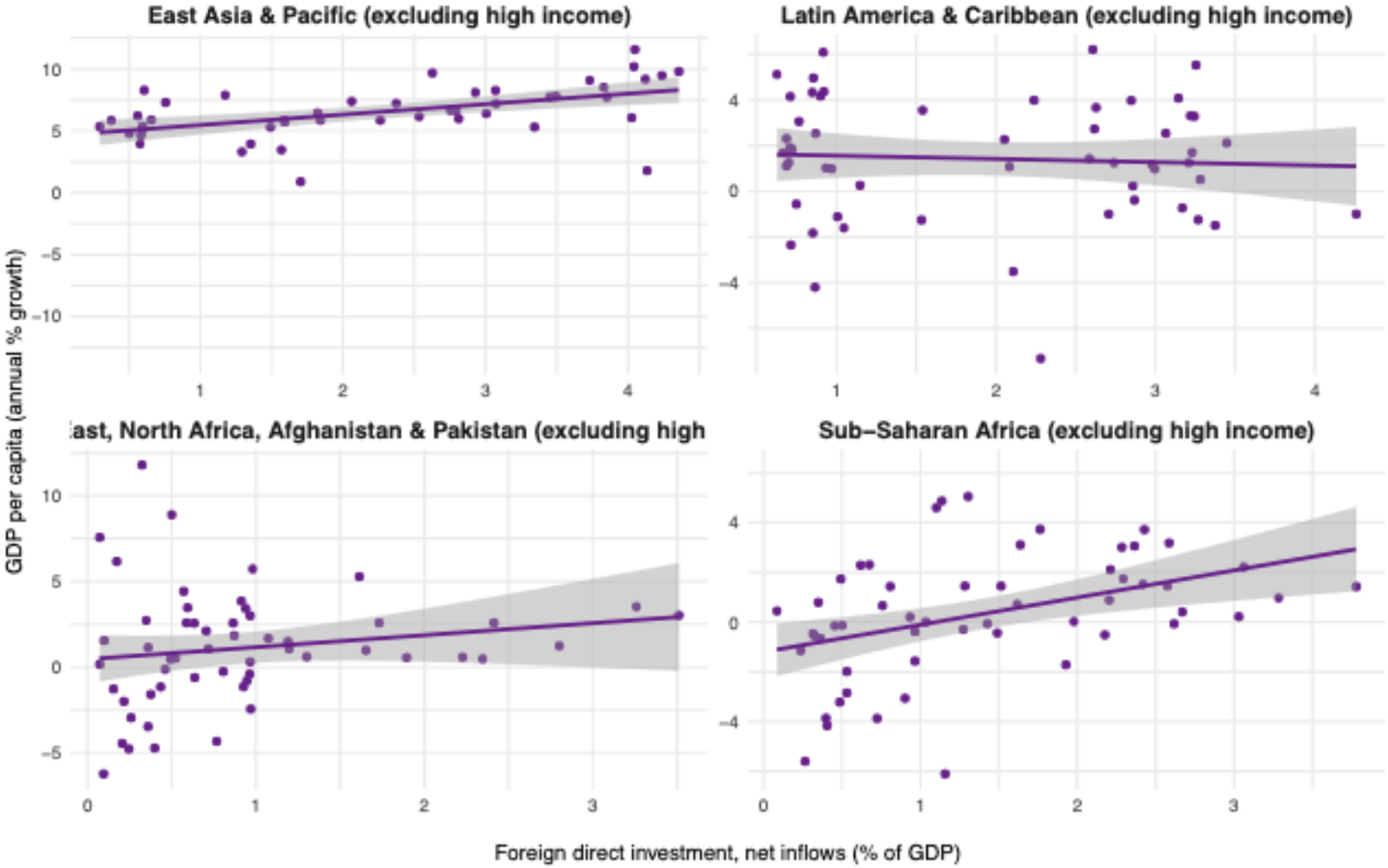
Evidence from the World Development Indicators

Lucia Hernandez

Analysis

Figure 1: FDI and GDP per capita in each region

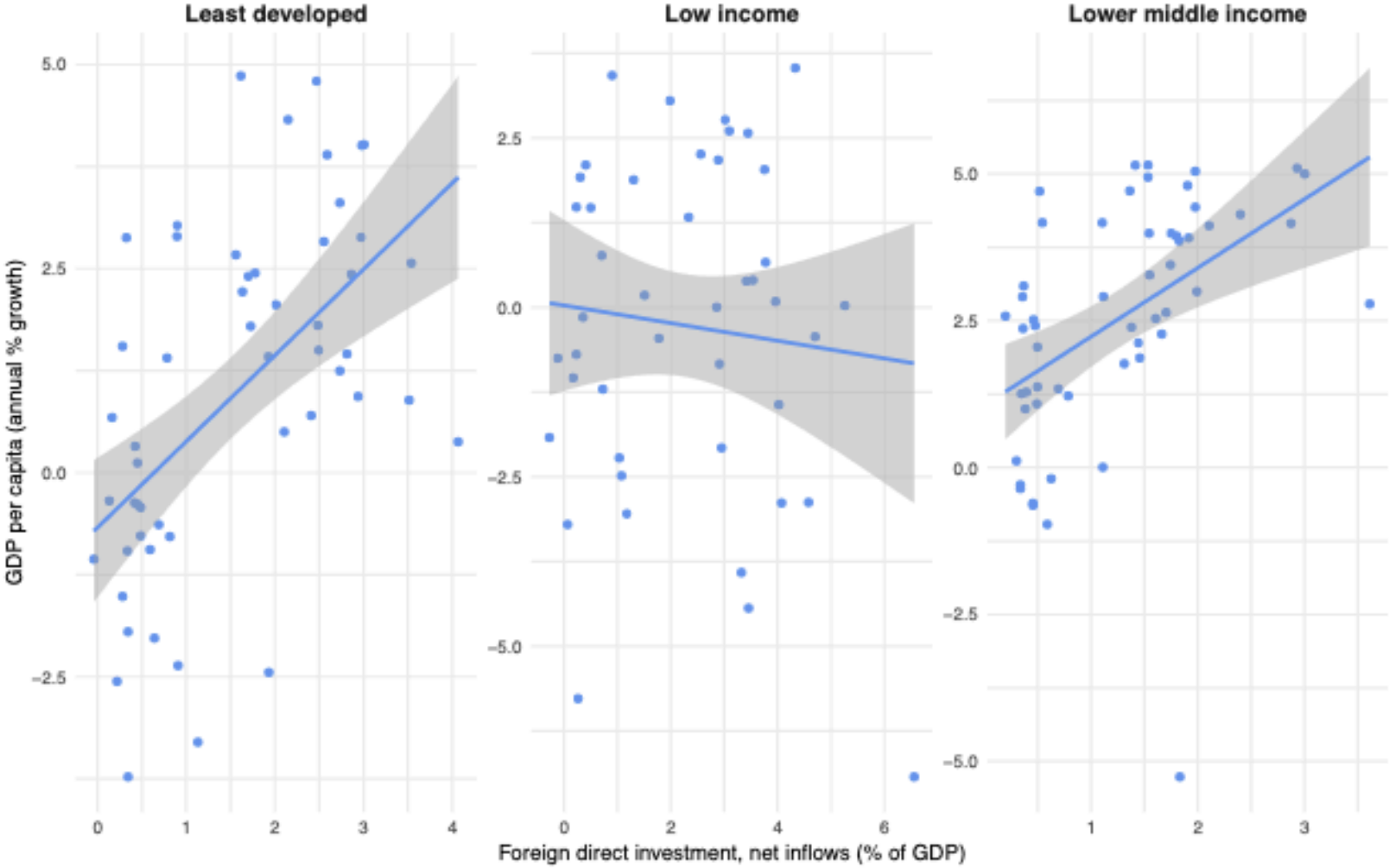
FDI is positively associated with GDP growth in most regions, but the relationship is weakest in Latin America



Source: World Bank World Development Indicators (WDI)

Figure 2: FDI and GDP per capita least developed, low income, and middle income countries

Least developed countries show the clearest positive relationship between FDI and growth.



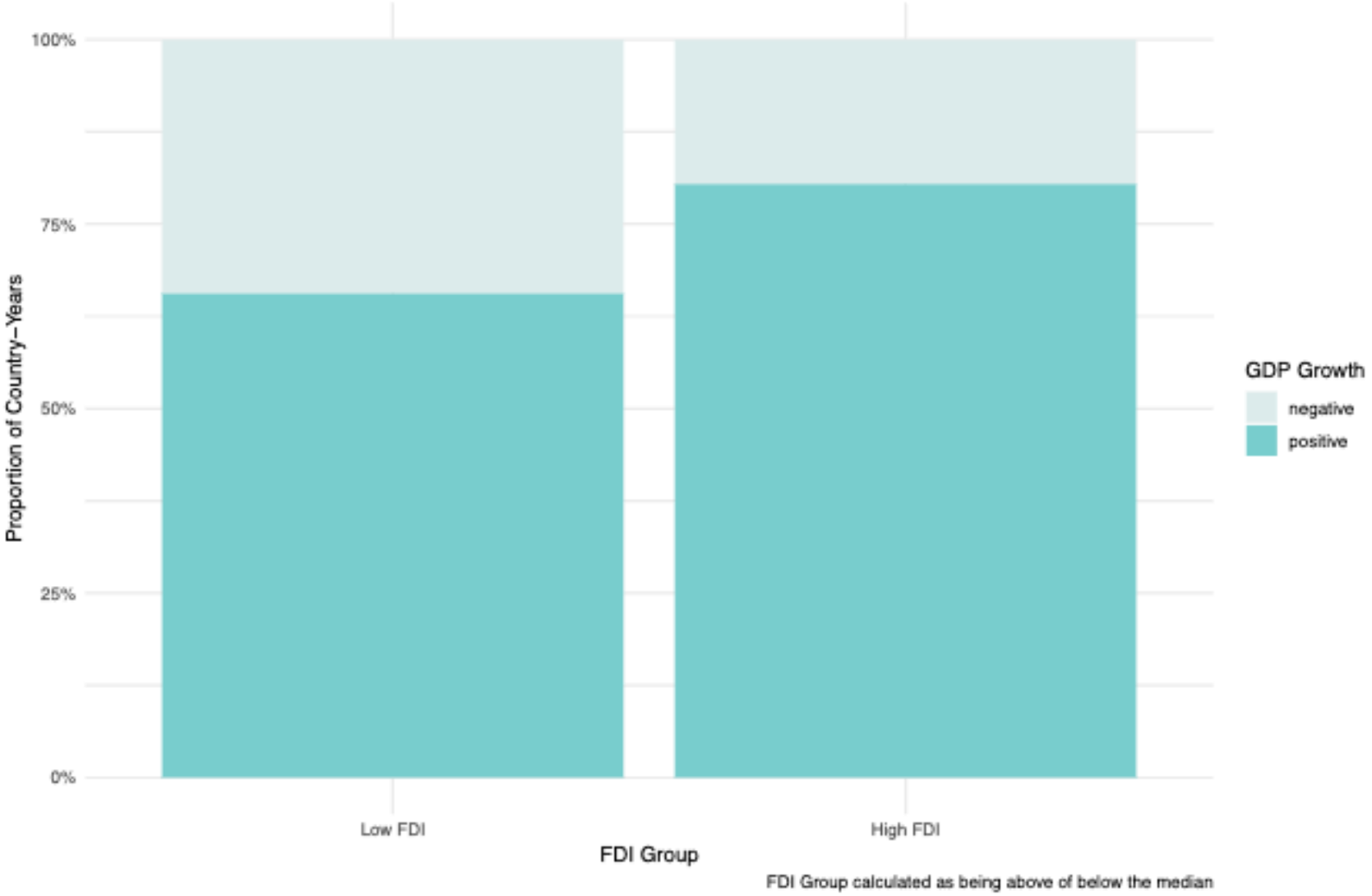
Source: World Bank World Development Indicators (WDI)

Table 1: Table 1: Average FDI by GDP Growth Direction

Growth Direction	N	Mean FDI	Median FDI
negative	3128	4.21	0.90
positive	8481	4.54	1.84

Figure 3: Proportion of Country–Years with Positive vs. Negative GDP Growth

High–FDI country–years are more likely to have positive GDP growth than low–FDI country–years



Conclusion

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- Higher FDI is associated with higher GDP per capita across most regions, but the relationship is not uniform.
- East Asia and Sub-Saharan Africa show the clearest positive slopes, while Latin America shows little to no relationship.
- Countries that receive high levels of FDI appear to have a negative slope, which could suggest diminishing returns at high inflow levels
- Least developed and lower-midle income countries show stronger positive associations than low-income countries
- Country-years with positive GDP growth had higher median FDI (1.84%) than country-yeas with negative GDP growth (0.9%).